

Twist Bioscience

NASDAQ : \$9.07B mkt cap · 62M sh · \$172M cash, zero debt · \$377M revenue FY25 (+20%, GM 50.7%); FY26 guide \$442-447M; adj-EBITDA breakeven guided Q4 FY26; Rallied ~+150% over 52wk to ~14x sales while still adj-EBITDA-negative; SBC-heavy (owner-FCF below the headline); ~\$172M net cash; Atlas (DNA data storage) spun out May'25 → external call option  
TWST · Mature- Company DCF

\$145.59

THE CENTRAL QUESTION

Twist tripled over 52 weeks to ~14x sales while still adj-EBITDA-negative — does the platform grow into the price, or has the multiple run past the fundamentals?

Twist Bioscience runs a silicon-based DNA-synthesis platform — miniaturized, high-throughput DNA writing — selling into SynBio and NGS. FY2025 revenue was \$377M (+20%), gross margin 50.7%, adj-EBITDA -\$46.9M and improving; management guides adj-EBITDA breakeven for Q4 FY2026 as the new Wilsonville factory ramps margins. At ~\$87.5 (~\$5.4B cap, net cash) the stock has run ~150% over a year to ~14x sales while still losing money, and SBC keeps owner-FCF below the adj-EBITDA headline. The DCF asks whether 16-24% growth and the margin ramp grow into that price. Weighted fair value \$43.95, ~50% below spot — only the bull and ultra-bull clear the quote.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$43.95

expected fair value today  
-69.8% vs spot \$145.59

FORWARD COMPOUNDED VALUE

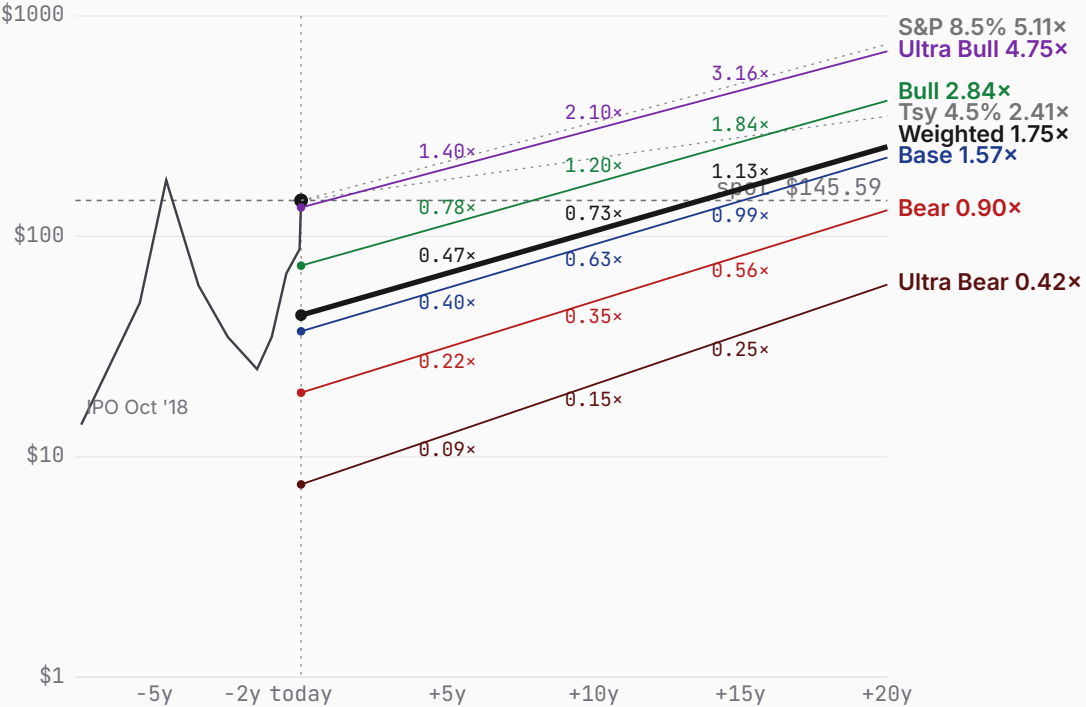
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$68.15    | \$105.75   | \$164.22   | \$255.20   |
| 0.47× spot | 0.73× spot | 1.13× spot | 1.75× spot |

WEIGHTING RATIONALE

- Ultra Bear 13% Stall at ~7.6% growth; never durably profitable.
- Bear 27% Decelerate to ~12%; margins up but multiple ran ahead.
- Base 33% ~16% growth + factory margin ramp; modal, ~58% below spot.
- Bull 18% Hold ~20% growth; cost-leader operating leverage.
- Ultra Bull 9% Dominant utility + Atlas; the only case above spot.

Bull (18%) + Ultra Bull (9%) together contribute \$25.44 — 58% of the \$43.95 expected value despite 27% combined probability. Today's spot (\$145.59) sits 231% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                   | \$7.50         | BEAR                                           | \$19.55        | BASE                                          | \$37.12        | BULL                                          | \$73.69        | ULTRA BULL                                   | \$135.31      |
|----------------------------------------------|----------------|------------------------------------------------|----------------|-----------------------------------------------|----------------|-----------------------------------------------|----------------|----------------------------------------------|---------------|
|                                              | -94.8% vs spot |                                                | -86.6% vs spot |                                               | -74.5% vs spot |                                               | -49.4% vs spot |                                              | -7.1% vs spot |
| CAGR +7.6% WACC 11.0%<br>CAGR +7.6% Prob 13% |                | CAGR +12.2% WACC 10.0%<br>CAGR +12.2% Prob 27% |                | CAGR +16.2% WACC 9.5%<br>CAGR +16.2% Prob 33% |                | CAGR +20.1% WACC 9.0%<br>CAGR +20.1% Prob 18% |                | CAGR +24.1% WACC 8.5%<br>CAGR +24.1% Prob 9% |               |
| Growth stalls; never profitable              |                | Decelerates; multiple ran ahead                |                | Solid growth; factory margin ramp             |                | High growth; cost leadership                  |                | Dominant utility; Atlas windfall             |               |

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2EB

ALAMEDA RESEARCH  
2: ELECTRIC BOOGALOO  
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Twist Bioscience scenario narratives

PROBABILITY WEIGHTS

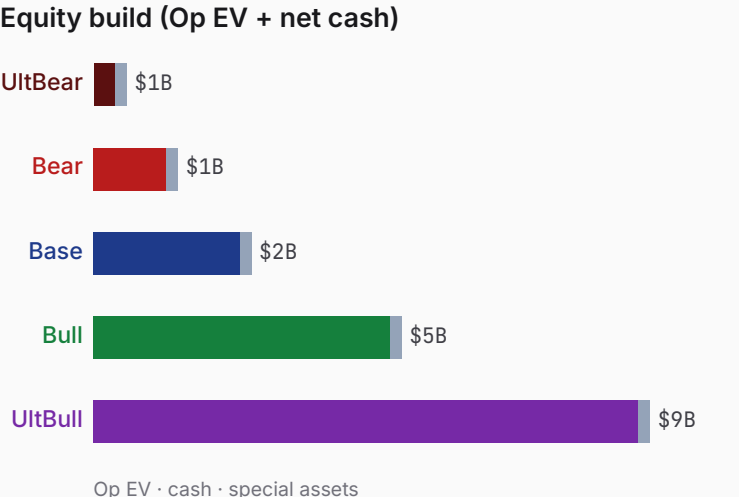
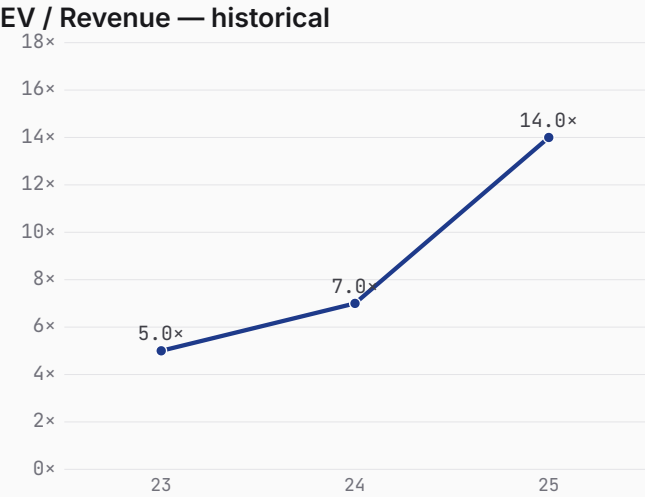
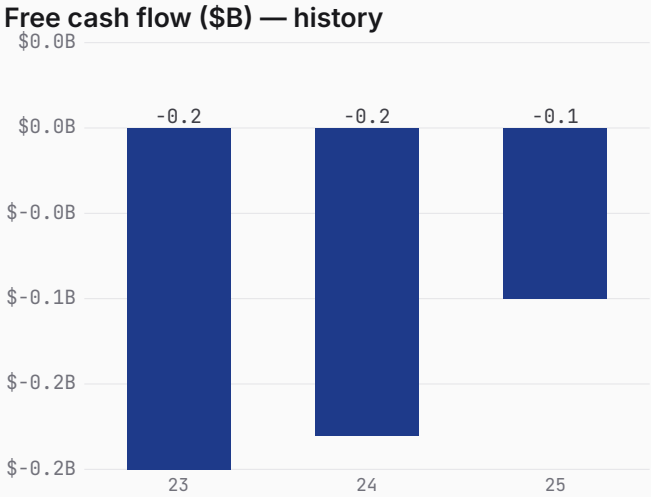
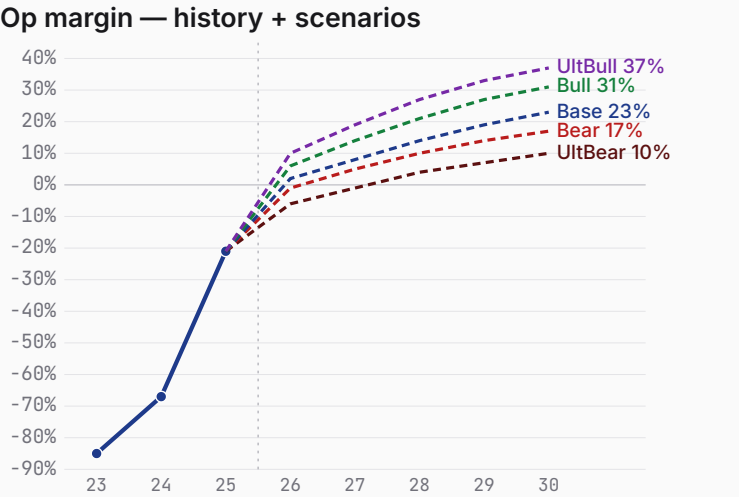
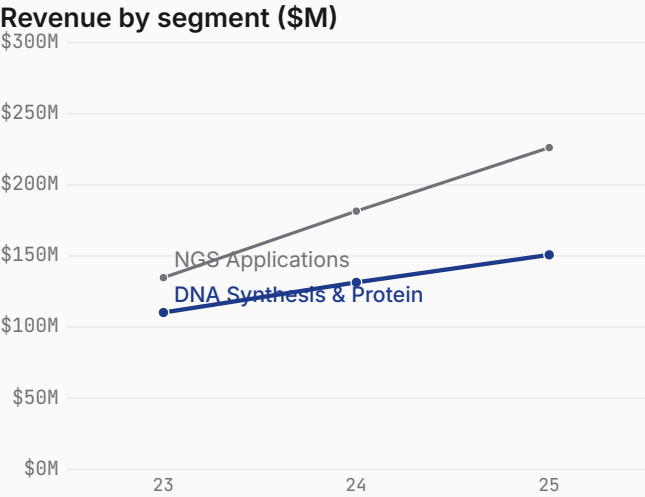
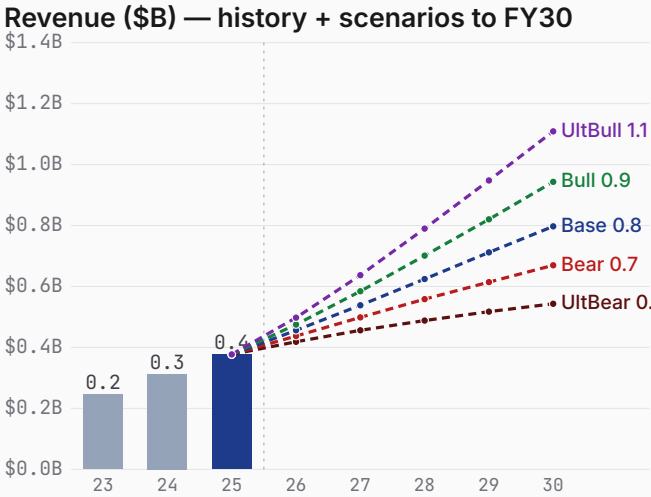
Ultra Bear 13% Bear 27% Base 33% Bull 18% Ultra Bull 9% · Weighted expected \$43.95 (-69.8% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                                               | \$7.50         | BEAR                                                                                                                                                                                                                                                                                     | \$19.55        | BASE                                                                                                                                                                                                                                                                                                 | \$37.12        | BULL                                                                                                                                                                                                                                                                                                                       | \$73.69        | ULTRA BULL                                                                                                                                                                                                                                                                                                                                      | \$135.31      |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
|                                                                                                                                                                                                                                                                                                          | -94.8% vs spot |                                                                                                                                                                                                                                                                                          | -86.6% vs spot |                                                                                                                                                                                                                                                                                                      | -74.5% vs spot |                                                                                                                                                                                                                                                                                                                            | -49.4% vs spot |                                                                                                                                                                                                                                                                                                                                                 | -7.1% vs spot |
| Probability 13%                                                                                                                                                                                                                                                                                          |                | Probability 27%                                                                                                                                                                                                                                                                          |                | Probability 33%                                                                                                                                                                                                                                                                                      |                | Probability 18%                                                                                                                                                                                                                                                                                                            |                | Probability 9%                                                                                                                                                                                                                                                                                                                                  |               |
| Growth stalls; never profitable                                                                                                                                                                                                                                                                          |                | Decelerates; multiple ran ahead                                                                                                                                                                                                                                                          |                | Solid growth; factory margin ramp                                                                                                                                                                                                                                                                    |                | High growth; cost leadership                                                                                                                                                                                                                                                                                               |                | Dominant utility; Atlas windfall                                                                                                                                                                                                                                                                                                                |               |
| WHY 13%                                                                                                                                                                                                                                                                                                  |                | WHY 27%                                                                                                                                                                                                                                                                                  |                | WHY 33%                                                                                                                                                                                                                                                                                              |                | WHY 18%                                                                                                                                                                                                                                                                                                                    |                | WHY 9%                                                                                                                                                                                                                                                                                                                                          |               |
| 13% — assumes commoditization plus a funding winter that stalls the synthesis franchise. Possible given well-capitalized rivals, but cuts against 13 straight sequential-growth quarters.                                                                                                                |                | 27% — the natural deceleration path as a 20% grower matures into a low-teens grower against capable competition. The single most defensible outcome alongside the base.                                                                                                                  |                | 33% — the modal path: 13 sequential growth quarters, the guided breakeven, and a factory built to lift margins. Carries the most weight precisely because it is the management plan working.                                                                                                         |                | 18% — requires growth to hold at 20%+ AND the factory to convert into 29% owner-FCF margins. A demanding but coherent cost-leader outcome; the steelman the price needs.                                                                                                                                                   |                | 9% — stacks utility-grade dominance, 24% growth, and an Atlas commercialization that is currently an external option Twist only holds equity in. Low-probability by construction; the right tail, not the expectation.                                                                                                                          |               |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                             |                | WHAT HAPPENS                                                                                                                                                                                                                                                                             |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                         |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                               |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                    |               |
| Revenue compounds only ~7.6% as price competition from deep-pocketed IDT and GenScript caps the synthesis franchise and biotech-funding softness slows orders. The factory's margin ramp arrives but is competed away, so owner-FCF starts negative and barely crosses into positive late in the window. |                | Growth slows to ~12.2% as the easy share gains mature and competitive pricing pressures the ramp. The Wilsonville factory still drives real gross-margin gains and the company reaches breakeven, but the second-derivative disappoints relative to what ~14x sales embedded.            |                | Revenue compounds ~16.2% — consistent with the raised FY26 guide of \$442-447M extended forward — as Twist holds share across SynBio and NGS and the Factory of the Future delivers its designed margin step. Adj-EBITDA breakeven in Q4 FY2026 converts into sustained, growing operating leverage. |                | Growth holds ~20.1% as silicon synthesis cements its picks-and-shovels cost advantage and Twist takes share at the expense of higher-cost methods. NGS Applications scales and Protein Solutions adds a higher-value mix, pulling gross margin and operating leverage up together past breakeven into clear profitability. |                | Twist becomes the default DNA-synthesis utility — the silicon platform's cost and throughput advantage compounds into share dominance across research and applied markets, with platform-grade margins. Growth compounds ~24.1% and the Atlas Data Storage equity stake, spun out in May 2025, commercializes into a real call-option windfall. |               |
| Owner-FCF margin grinds from about -8% to 8% — real but thin. At a ~7.6% grower that never builds durable platform economics, the DCF supports \$7.50, roughly 91% below spot. The 14x-sales multiple was pricing an outcome the business does not reach.                                                |                | Owner-FCF margin climbs from about -3% to 15%, generating genuine cash flow over time. But a low-teens grower at that terminal margin is worth \$19.55 on the DCF, roughly 78% below spot — the business executes, the entry multiple does not survive contact with decelerating growth. |                | Owner-FCF margin ramps from roughly 0% to 21%, so the platform finally throws off real cash. Yet the modal value is \$37.12, about 58% below spot. This is the crux — even the company executing its plan well leaves a wide gap, because the price already capitalized the success and then some.   |                | Owner-FCF margin reaches about 29% as fixed factory costs lever across a much larger revenue base. A durable 20% grower with platform margins supports \$73.69, still ~16% below spot — the bull case nearly justifies the quote but does not fully clear it.                                                              |                | Owner-FCF margin reaches ~35% as a dominant utility with pricing power. This combination supports \$135.31, about 55% above spot — the only scenario that materially beats the price, and it requires both the utility outcome and the data-storage option paying off.                                                                          |               |

Twist Bioscience business snapshot

Bear \$19.55 Base \$37.12 Bull \$73.69

FY23-FY25 history + FY26-FY30 scenario projections · fiscal years end Sept 30 · FY2025 + Q2 FY2026 results



Sources: Twist Bioscience FY2025 (Sept 30) + Q2 FY2026 results (CIK 1581280), FY26 guidance. Revenue as a growth-rate path off FY25; FCF = revenue x an SBC-adjusted owner-FCF margin (starts negative — SBC keeps owner-FCF below the guided adj-EBITDA breakeven); Gordon terminal at scenario WACC. EV/sales vs DNA-synthesis / life-science-tools peers.

# Twist Bioscience 7 Powers · the moat, scored

Bear \$19.55 Base \$37.12 Bull \$73.69

**Arena.** High-throughput DNA synthesis (plus NGS tools) — Twist's silicon platform versus IDT/Danaher, GenScript, and enzymatic-synthesis challengers Ansa and DNA Script.

**POWER AUDIT**  
dominant-power durability: medium

POWER AUDIT · 7 POWERS

|                                       |                                                                                                                                   |
|---------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| Scale Economies                       | Silicon chip + the Wilsonville factory spread fixed cost across high volume — the core cost advantage, still ramping.             |
| Network Economies                     | Essentially none — a DNA supplier's value does not rise with other customers' usage.                                              |
| Counter-Positioning                   | Silicon synthesis is a structurally different, lower-cost method legacy column players cannot easily match without cannibalizing. |
| Switching Costs                       | Some workflow and validation lock-in for NGS and protein customers, but DNA is largely a fungible input across vendors.           |
| Branding                              | Strong quality reputation for synthesis fidelity, but buyers are price- and spec-driven, not brand-driven.                        |
| Cornered Resource · thesis leans here | The proprietary silicon-synthesis process and IP — the throughput-per-cost engine rivals have not replicated at scale.            |
| Process Power                         | Accumulated manufacturing know-how in miniaturized synthesis, but a process advantage rather than an unassailable one.            |

PEER SET

|                                                                           |                              |
|---------------------------------------------------------------------------|------------------------------|
| IDT (Danaher)                                                             | · division of Danaher        |
| Deep-pocketed synthesis leader inside Danaher; can fund price competition |                              |
| GenScript                                                                 | 15% gr · public, well-funded |
| Broad gene-synthesis and CRO scale; mid-teens grower                      |                              |
| Ansa Biotechnologies                                                      | · venture-backed             |
| Enzymatic synthesis — a potentially lower-cost long-DNA method            |                              |
| DNA Script                                                                | · venture-backed             |
| Enzymatic benchtop synthesis; alternative platform path                   |                              |

THREAT VECTORS · FALSIFIERS

**scale\_economies / pricing** · IDT (Danaher), GenScript  
**falsifier:** Gross margin failing to advance toward platform levels as well-capitalized rivals compete on price during the factory ramp.

**cornered\_resource erosion** · Ansa, DNA Script  
**falsifier:** Enzymatic synthesis reaching commercial cost/throughput parity, neutralizing the silicon platform's structural advantage.

**optionality never lands** · Atlas Data Storage  
**falsifier:** DNA data storage failing to commercialize, leaving the spun-out equity stake worth little and removing the right-tail.

COMPETITIVE READ

Twist holds a real but medium-durability Power: a cornered silicon-synthesis process backed by scale economies the Wilsonville factory is still building. The audit verdict is a credible cost-leader, not yet an unassailable moat — DNA is partly fungible and a Danaher-owned IDT can fund a price war. The falsifier the bull must clear is the gross-margin ramp: if margins advance toward platform levels while 20%+ growth holds, the Power is durable; if pricing competition flattens the margin curve, it is a strong franchise priced as if it were a moat.

Twist Bioscience show your work

Bear \$19.55 Base \$37.12 Bull \$73.69 · Weighted \$43.95 (-69.8%)

| ULTRA BEAR                                |         |         |         |        | \$7.50  | BEAR                                      |         |          |       |         | \$19.55 | BASE                                      |          |        |          |          | \$37.12  | BULL                                      |      |          |          |          | \$73.69  | ULTRA BULL                                |          |          |          |           | \$135.31 |          |          |           |           |        |  |
|-------------------------------------------|---------|---------|---------|--------|---------|-------------------------------------------|---------|----------|-------|---------|---------|-------------------------------------------|----------|--------|----------|----------|----------|-------------------------------------------|------|----------|----------|----------|----------|-------------------------------------------|----------|----------|----------|-----------|----------|----------|----------|-----------|-----------|--------|--|
| ASSUMPTIONS                               |         |         |         |        |         | ASSUMPTIONS                               |         |          |       |         |         | ASSUMPTIONS                               |          |        |          |          |          | ASSUMPTIONS                               |      |          |          |          |          | ASSUMPTIONS                               |          |          |          |           |          |          |          |           |           |        |  |
| 5y revenue CAGR (%)                       |         |         |         |        | +7.6    | 5y revenue CAGR (%)                       |         |          |       |         | +12.2   | 5y revenue CAGR (%)                       |          |        |          |          | +16.2    | 5y revenue CAGR (%)                       |      |          |          |          | +20.1    | 5y revenue CAGR (%)                       |          |          |          |           | +24.1    |          |          |           |           |        |  |
| Year-5 op margin (%)                      |         |         |         |        | 10.0    | Year-5 op margin (%)                      |         |          |       |         | 17.0    | Year-5 op margin (%)                      |          |        |          |          | 23.0     | Year-5 op margin (%)                      |      |          |          |          | 31.0     | Year-5 op margin (%)                      |          |          |          |           | 37.0     |          |          |           |           |        |  |
| WACC (%)                                  |         |         |         |        | 11.0    | WACC (%)                                  |         |          |       |         | 10.0    | WACC (%)                                  |          |        |          |          | 9.5      | WACC (%)                                  |      |          |          |          | 9.0      | WACC (%)                                  |          |          |          |           | 8.5      |          |          |           |           |        |  |
| Terminal growth (%)                       |         |         |         |        | 3.0     | Terminal growth (%)                       |         |          |       |         | 3.5     | Terminal growth (%)                       |          |        |          |          | 4.0      | Terminal growth (%)                       |      |          |          |          | 4.5      | Terminal growth (%)                       |          |          |          |           | 5.0      |          |          |           |           |        |  |
| Terminal FCF (\$B)                        |         |         |         |        | \$0.04B | Terminal FCF (\$B)                        |         |          |       |         | \$0.10B | Terminal FCF (\$B)                        |          |        |          |          | \$0.17B  | Terminal FCF (\$B)                        |      |          |          |          | \$0.27B  | Terminal FCF (\$B)                        |          |          |          |           | \$0.39B  |          |          |           |           |        |  |
| Starting revenue (\$B)                    |         |         |         |        | 0.38    | Starting revenue (\$B)                    |         |          |       |         | 0.38    | Starting revenue (\$B)                    |          |        |          |          | 0.38     | Starting revenue (\$B)                    |      |          |          |          | 0.38     | Starting revenue (\$B)                    |          |          |          |           | 0.38     |          |          |           |           |        |  |
| Scenario probability (%)                  |         |         |         |        | 13      | Scenario probability (%)                  |         |          |       |         | 27      | Scenario probability (%)                  |          |        |          |          | 33       | Scenario probability (%)                  |      |          |          |          | 18       | Scenario probability (%)                  |          |          |          |           | 9        |          |          |           |           |        |  |
| 5-YEAR DCF · \$B                          |         |         |         |        |         | 5-YEAR DCF · \$B                          |         |          |       |         |         | 5-YEAR DCF · \$B                          |          |        |          |          |          | 5-YEAR DCF · \$B                          |      |          |          |          |          | 5-YEAR DCF · \$B                          |          |          |          |           |          |          |          |           |           |        |  |
| FY                                        | Rev     | Margin  | FCF     | PV FCF |         | FY                                        | Rev     | Margin   | FCF   | PV FCF  |         | FY                                        | Rev      | Margin | FCF      | PV FCF   |          | FY                                        | Rev  | Margin   | FCF      | PV FCF   |          | FY                                        | Rev      | Margin   | FCF      | PV FCF    |          | FY       | Rev      | Margin    | FCF       | PV FCF |  |
| FY26                                      | 0.42    | -6%     | -0.03   | -0.03  |         | FY26                                      | 0.44    | -1%      | -0.01 | -0.01   |         | FY26                                      | 0.46     | +2%    | +0.00    | +0.00    |          | FY26                                      | 0.48 | +6%      | +0.02    | +0.02    |          | FY26                                      | 0.50     | +10%     | +0.04    | +0.04     |          | FY26     | 0.52     | +7%       | +0.03     | +0.03  |  |
| FY27                                      | 0.46    | -1%     | -0.01   | -0.01  |         | FY27                                      | 0.50    | +5%      | +0.01 | +0.01   |         | FY27                                      | 0.54     | +8%    | +0.03    | +0.03    |          | FY27                                      | 0.58 | +14%     | +0.07    | +0.06    |          | FY27                                      | 0.64     | +19%     | +0.11    | +0.09     |          | FY27     | 0.68     | +24%      | +0.15     | +0.12  |  |
| FY28                                      | 0.49    | +4%     | +0.01   | +0.01  |         | FY28                                      | 0.56    | +10%     | +0.04 | +0.03   |         | FY28                                      | 0.62     | +14%   | +0.07    | +0.06    |          | FY28                                      | 0.70 | +21%     | +0.13    | +0.10    |          | FY28                                      | 0.79     | +27%     | +0.20    | +0.15     |          | FY28     | 0.88     | +34%      | +0.27     | +0.21  |  |
| FY29                                      | 0.52    | +7%     | +0.03   | +0.02  |         | FY29                                      | 0.61    | +14%     | +0.07 | +0.05   |         | FY29                                      | 0.71     | +19%   | +0.12    | +0.08    |          | FY29                                      | 0.82 | +27%     | +0.20    | +0.14    |          | FY29                                      | 0.95     | +33%     | +0.29    | +0.21     |          | FY29     | 1.08     | +41%      | +0.36     | +0.28  |  |
| FY30                                      | 0.54    | +10%    | +0.04   | +0.03  |         | FY30                                      | 0.67    | +17%     | +0.10 | +0.06   |         | FY30                                      | 0.80     | +23%   | +0.17    | +0.11    |          | FY30                                      | 0.94 | +31%     | +0.27    | +0.18    |          | FY30                                      | 1.11     | +37%     | +0.39    | +0.26     |          | FY30     | 1.29     | +45%      | +0.48     | +0.35  |  |
| Σ PV explicit FCF                         |         |         |         |        | +0.01   | Σ PV explicit FCF                         |         |          |       |         | +0.15   | Σ PV explicit FCF                         |          |        |          |          | +0.27    | Σ PV explicit FCF                         |      |          |          |          | +0.50    | Σ PV explicit FCF                         |          |          |          |           | +0.75    |          |          |           |           |        |  |
| + PV terminal (g 3.0%)                    |         |         |         |        | 0.33    | + PV terminal (g 3.5%)                    |         |          |       |         | 0.99    | + PV terminal (g 4.0%)                    |          |        |          |          | 2.01     | + PV terminal (g 4.5%)                    |      |          |          |          | 4.12     | + PV terminal (g 5.0%)                    |          |          |          |           | 7.74     |          |          |           |           |        |  |
| EQUITY BUILD · \$B & PER SHARE            |         |         |         |        |         | EQUITY BUILD · \$B & PER SHARE            |         |          |       |         |         | EQUITY BUILD · \$B & PER SHARE            |          |        |          |          |          | EQUITY BUILD · \$B & PER SHARE            |      |          |          |          |          | EQUITY BUILD · \$B & PER SHARE            |          |          |          |           |          |          |          |           |           |        |  |
| Operating EV                              |         |         |         |        | \$0.34B | Operating EV                              |         |          |       |         | \$1.14B | Operating EV                              |          |        |          |          | \$2.28B  | Operating EV                              |      |          |          |          | \$4.62B  | Operating EV                              |          |          |          |           | \$8.49B  |          |          |           |           |        |  |
| + Cash & investments                      |         |         |         |        | \$0.17B | + Cash & investments                      |         |          |       |         | \$0.17B | + Cash & investments                      |          |        |          |          | \$0.17B  | + Cash & investments                      |      |          |          |          | \$0.17B  | + Cash & investments                      |          |          |          |           | \$0.17B  |          |          |           |           |        |  |
| = Equity value                            |         |         |         |        | \$0.51B | = Equity value                            |         |          |       |         | \$1.31B | = Equity value                            |          |        |          |          | \$2.45B  | = Equity value                            |      |          |          |          | \$4.79B  | = Equity value                            |          |          |          |           | \$8.66B  |          |          |           |           |        |  |
| FY30 shares (M)                           |         |         |         |        | 68      | FY30 shares (M)                           |         |          |       |         | 67      | FY30 shares (M)                           |          |        |          |          | 66       | FY30 shares (M)                           |      |          |          |          | 65       | FY30 shares (M)                           |          |          |          |           | 64       |          |          |           |           |        |  |
| = Expected per share                      |         |         |         |        | \$7.50  | = Expected per share                      |         |          |       |         | \$19.55 | = Expected per share                      |          |        |          |          | \$37.12  | = Expected per share                      |      |          |          |          | \$73.69  | = Expected per share                      |          |          |          |           | \$135.31 |          |          |           |           |        |  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |          |       |         |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |        |          |          |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |      |          |          |          |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |           |          |          |          |           |           |        |  |
| +5y                                       | +10y    | +15y    | +20y    |        | +5y     | +10y                                      | +15y    | +20y     |       | +5y     | +10y    | +15y                                      | +20y     |        | +5y      | +10y     | +15y     | +20y                                      |      | +5y      | +10y     | +15y     | +20y     |                                           | +5y      | +10y     | +15y     | +20y      |          | +5y      | +10y     | +15y      | +20y      |        |  |
| \$12.64                                   | \$21.30 | \$35.88 | \$60.47 |        | \$31.49 | \$50.71                                   | \$81.67 | \$131.52 |       | \$58.44 | \$91.99 | \$144.82                                  | \$227.98 |        | \$113.38 | \$174.45 | \$268.41 | \$412.99                                  |      | \$203.46 | \$305.93 | \$460.02 | \$691.71 |                                           | \$359.52 | \$544.28 | \$816.42 | \$1244.64 |          | \$618.96 | \$933.44 | \$1390.16 | \$2132.56 |        |  |
| 0.09×                                     | 0.15×   | 0.25×   | 0.42×   |        | 0.22×   | 0.35×                                     | 0.56×   | 0.90×    |       | 0.40×   | 0.63×   | 0.99×                                     | 1.57×    |        | 0.78×    | 1.20×    | 1.84×    | 2.84×                                     |      | 1.40×    | 2.10×    | 3.16×    | 4.75×    |                                           | 2.50×    | 3.75×    | 5.62×    | 8.54×     |          | 4.50×    | 6.75×    | 10.16×    | 15.25×    |        |  |

Twist Bioscience

People · Opportunity · Context · Deal

Bear \$19.55 Base \$37.12 Bull \$73.69

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Emily Leproust · founder-led

13 yrs in seat

2.4%

insider ownership

MEDIUM

key-person risk

**Capital allocation (realized)**  
Co-founder Emily Leproust has been CEO since 2013 and Chair since 2018; co-founder Bill Banyai remains an executive and director (the DNA-data-storage "Atlas" spinout). The synthetic-DNA business is past early stage (~\$377M revenue, +20%) and targeting adjusted-EBITDA breakeven by late FY2026, on ~\$232M cash. Funding is via an active \$200M ATM (ongoing dilution); no dividend or buyback.

**Incentive alignment**  
Leproust's FY2025 compensation was ~\$13.8M (equity-heavy; up on a large stock grant), with ~94% say-on-pay support. Insiders hold only ~2.4% of the company; alignment is through equity awards, not a founding control block. Insider trading is net selling under a 10b5-1 plan (much of it RSU tax withholding), no open-market buying.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class or super-voting; no controlling shareholder (largest holder ARK ~12%)
- combined Chair & CEO (Leproust), mitigated by a lead independent director (Robert Chess)
- classified / staggered board (three classes) — an entrenchment feature
- 7 of 9 directors independent; ongoing ATM dilution with no buyback to offset
- a securities class action (following a short-seller report) was allowed to proceed — an open litigation flag
- director interlock: a sitting director (Ragusa) is CEO of another company in the watchlist (GRAIL)

PEOPLE READ

A clean one-share-one-vote register with no controlling holder, a 7-of-9 independent board, and a lead independent director are the positives. Holding it at 3 are a combined Chair/CEO, a classified board, ongoing ATM dilution, and an open securities class action. Key-person risk is moderate — a founder Chair/CEO, but a second co-founder still active, an institutionalized board, and a business past early stage (~\$377M revenue).

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the -49.8% finding) + position sizing.



Twist Bioscience supporting analysis · disclaimers · glossary

Bear \$19.55 Base \$37.12 Bull \$73.69

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Cost-leader picks-and-shovels**  
A cheaper way to write DNA — a 51%-GM platform selling shovels to every genomics buyer, not one drug.
- 2 **Real breakeven inflection**  
Q4 FY2026 adj-EBITDA breakeven is real; 13 sequential growth quarters and the Wilsonville factory make the margin ramp credible.
- 3 **Free Atlas optionality**  
Data storage spun out as Atlas in May 2025; Twist holds equity, so any commercialization is upside the DCF ignores.
- 4 **Multiple, not the business**  
The bear case is about price, not execution — at ~14x sales even a well-run 16% grower is worth far less than spot.
- 5 **SBC gap to owner-FCF**  
Adj-EBITDA flatters: heavy stock comp keeps owner-FCF below the headline, so 'breakeven' precedes positive owner cash flow.

FALSIFICATION TRIGGERS

|                                                                                                                                                            |                                                                                                                                                                                      |                                                                                                                                                                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull validation</b><br>Growth sustained at 20%+ with adj-EBITDA durably positive; gross margin marching toward platform levels; Atlas gaining traction. | <b>Bear validation</b><br>Growth decelerating toward low-teens; the margin ramp stalling under IDT/GenScript pricing; SBC keeping owner-FCF negative well past the guided breakeven. | <b>Reframe needed</b><br>Sustained price competition on gross margin, or a biotech-funding winter cutting orders, moves this from rich-but-executing to challenged. |
|------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

|                                                                                                                                                                                                  |                                                                                                                                                                                             |                                                                                                                                                                |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Silicon DNA synthesis</b> — Twist's core platform — DNA written on a miniaturized silicon chip, enabling high throughput at low cost per base versus older column methods.                    | <b>SynBio / NGS segments</b> — The two demand areas: synthetic biology (DNA Synthesis and Protein Solutions) and next-generation sequencing applications (target enrichment, library prep). | <b>Factory of the Future</b> — The new Wilsonville, Oregon plant built to scale capacity and step up gross margin — the engine behind the modeled margin ramp. |
| <b>Atlas (DNA data storage)</b> — The DNA-data-storage venture spun out as independent Atlas Data Storage in May 2025; Twist retains equity, so it is now an external call option, not in-house. | <b>Adj-EBITDA vs owner-FCF</b> — Adj-EBITDA adds back stock comp (breakeven Q4 FY2026); owner-FCF subtracts real SBC + capex, so it turns positive later.                                   | <b>SBC</b> — Stock-based compensation — a real cost to owners via dilution that adj-EBITDA excludes; deducted here from owner FCF.                             |